



Morpho: Midnight Bundles Competition Fixes Security Review

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August 10, 2026

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1 About Spearbit

Spearbit is a decentralized network of expert security engineers offering reviews and other security related services to Web3 projects with the goal of creating a stronger ecosystem. Our network has experience on every part of the blockchain technology stack, including but not limited to protocol design, smart contracts and the Solidity compiler. Spearbit brings in untapped security talent by enabling expert freelance auditors seeking flexibility to work on interesting projects together.

Learn more about us at spearbit.com

2 Introduction

Morpho is a trustless and efficient lending primitive with permissionless market creation.

Disclaimer: This security review does not guarantee against a hack. It is a snapshot in time of Morpho: Midnight Bundles Competition Fixes according to the specific commit. Any modifications to the code will require a new security review.

3 Risk classification

Severity level	Impact: High	Impact: Medium	Impact: Low
Likelihood: high	Critical	High	Medium
Likelihood: medium	High	Medium	Low
Likelihood: low	Medium	Low	Low

3.1 Impact

- High - leads to a loss of a significant portion (>10%) of assets in the protocol, or significant harm to a majority of users.
- Medium - global losses <10% or losses to only a subset of users, but still unacceptable.
- Low - losses will be annoying but bearable--applies to things like griefing attacks that can be easily repaired or even gas inefficiencies.

3.2 Likelihood

- High - almost certain to happen, easy to perform, or not easy but highly incentivized
- Medium - only conditionally possible or incentivized, but still relatively likely
- Low - requires stars to align, or little-to-no incentive

3.3 Action required for severity levels

- Critical - Must fix as soon as possible (if already deployed)
- High - Must fix (before deployment if not already deployed)
- Medium - Should fix
- Low - Could fix

4 Executive Summary

Over the course of 1 day, [Morpho](#) engaged with [Spearbit](#) to review the [midnight](#) protocol. In this period of time, no findings were raised. Furthermore, the Spearbit team reviewed Morpho's [midnight](#) holistically on commit hash [e6f2bf28](#) and concluded that all findings were addressed and no new vulnerabilities were identified.

4.1 Scope

The security review had the following components in scope for [midnight](#) on commit hash [3836155f](#):

```
src/periphery/MidnightBundles.sol  
src/periphery/interfaces/IMidnightBundles.sol
```